

NVIDIA Corporation (NVDA)

Technology | Semiconductors

Recommendation Framing	POSITIVE
Last Price (USD)	209.57
Market Cap	\$5.15T
P/E (TTM)	42.73x
P/E (Forward)	25.75x
52-Week Range	104.08 - 216.83
Beta (5Y Monthly)	2.34
Report Date	April 30, 2026

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IMPORTANT: This report is research support, not investment advice. All quantitative claims are sourced to public filings or market data and tagged with [SRC-X] citations. The human analyst named above retains responsibility for the final view.

1. COMPANY SNAPSHOT

NVIDIA Corporation is a semiconductor company whose accelerated-computing platforms have become the dominant infrastructure layer for artificial-intelligence workloads. The company reports two segments: Compute & Networking, which generated \$61.7B of revenue in Q4 FY26 [SRC-2], and Graphics, which contributed \$6.5B [SRC-2]. Within Compute & Networking, the Data Center end-market alone produced \$62.3B of revenue in the quarter [SRC-1] [SRC-2], with Compute (GPU) at \$51.3B and Networking at \$11.0B [SRC-2]. Gaming, the legacy core, generated \$3.7B in Q4 [SRC-2]. For full-year fiscal 2026 (ended January 25, 2026) NVIDIA reported revenue of \$215.9B, up 65% year over year [SRC-1]. Approximately 91% of total Q4 sales came from the Data Center business, underscoring the company's transformation from a gaming-GPU specialist into a data-center-scale AI infrastructure provider [SRC-7].

2. FINANCIAL PERFORMANCE SUMMARY

Q4 FY26 (ended January 25, 2026) was a record quarter on every headline line. Revenue of \$68.1B was up 20% sequentially and up 73% year over year, beating consensus of \$66.2B [SRC-1] [SRC-7]. GAAP gross margin expanded to 75.0% from 73.4% in Q3 [SRC-1], and operating income reached \$44.3B, up 84% year on year [SRC-1]. GAAP diluted EPS came in at \$1.76 (up 98% year over year), while non-GAAP diluted EPS was \$1.62, ahead of the \$1.53 LSEG consensus [SRC-1] [SRC-7]. GAAP net income nearly doubled to \$43.0B, though management noted that this figure includes gains from the company's investment in Intel; non-GAAP net income, which excludes that mark, was \$39.6B [SRC-6].

Looking across the full fiscal year, the quarterly trajectory was: Q1 \$44.1B [SRC-5], Q2 \$46.7B [SRC-4], Q3 \$57.0B [SRC-3], Q4 \$68.1B [SRC-1] - an acceleration rather than a deceleration as scale grew. Data Center revenue rose from \$39.1B in Q1 [SRC-5] to \$62.3B in Q4 [SRC-1] [SRC-2], up 75% year over year in the latest quarter. The standout segment trend was Networking, where Q4 revenue of \$11.0B was up 263% year over year [SRC-2], reflecting Spectrum-X and InfiniBand attach to large Blackwell deployments. Gaming revenue declined 13% sequentially in Q4 to \$3.7B [SRC-2], a normalization after Q1's record \$3.8B RTX 50-series ramp [SRC-5]. Q1 FY26 gross margin of 60.5% [SRC-5] reflects a one-time charge tied to U.S. export restrictions on H2O China products and is the only outlier in an otherwise expanding-margin year.

3. KEY DRIVERS AND RISKS

KEY DRIVERS:

- AI compute demand remains supply-constrained, not demand-constrained. Management stated that "compute demand keeps accelerating and compounding across training and inference" [SRC-3], with "Blackwell sales ... off the charts and cloud GPUs ... sold out" as of November 2025 [SRC-3]. The 22% sequential and 75% year-over-year Data Center revenue growth in Q4 [SRC-1] [SRC-2] is consistent with this characterization rather than a demand pull-forward.
- Networking is becoming a second growth pillar. Q4 networking revenue of \$11.0B was up 34% sequentially and 263% year over year [SRC-2], indicating that systems-level attach (Spectrum-X, NVLink, InfiniBand) is materially additive to per-GPU economics rather than a margin drag.
- Forward visibility is unusually strong for a semiconductor company. NVIDIA guided Q1 FY27 revenue to approximately \$78B [SRC-6], roughly 15% sequential growth on top of a record quarter, which implies a consensus-beating book-to-bill heading into the next fiscal year.
- Gross margin is expanding even as scale grows. GAAP gross margin moved from 73.0% in Q4 FY25 [SRC-1] to 75.0% in Q4 FY26 [SRC-1], a 200-basis-point gain that argues against pricing pressure from peers in the near

term.

- Capital return continues. Through the first nine months of FY26 NVIDIA returned \$37.0B via buybacks and dividends, with \$62.2B remaining on the share repurchase authorization as of Q3 [SRC-3].

KEY RISKS:

- Customer concentration. Approximately 91% of Q4 revenue came from the Data Center segment [SRC-7], and within that segment, hyperscaler buyers (Microsoft, Meta, Google, Amazon, Oracle) dominate. A capex pause or share shift at even one of these customers would be material.

- China / export-control risk is unresolved. Q1 FY26 gross margin was 60.5%, ~17 points below the year-ago period [SRC-5], driven by a charge tied to H2O-related U.S. export restrictions. Further tightening or retaliatory measures could re-introduce similar charges.

- AI capex digestion. The \$78B Q1 FY27 guide [SRC-6] assumes hyperscalers continue to spend at current rates. Any sign that 2026 AI infrastructure capex is decelerating - whether due to model-efficiency improvements or financing constraints - would compress both revenue and the multiple.

- Competition is real even if not yet in the numbers. Custom silicon programs at Google (TPU), Amazon (Trainium), and Microsoft (Maia), plus accelerator launches from AMD, target the same workloads. None have meaningfully dented NVIDIA's share to date, but that is the consensus view embedded in the multiple.

- Valuation risk. With a 5.09T market cap [SRC-8] and 42.7x trailing P/E [SRC-8], the stock prices in continued execution. The forward P/E of 25.8x [SRC-8] looks more reasonable, but only if FY27 estimates prove conservative.

On balance, the risk-reward skews POSITIVE in our view, given an expanding-margin, accelerating-revenue profile that is rare at this scale, but the position should be sized to tolerate a multiple-driven drawdown if AI capex narratives turn.

4. EARNINGS & MANAGEMENT COMMENTARY

MANAGEMENT COMMENTARY: On the Q3 FY26 call, founder and CEO Jensen Huang framed the demand environment in unambiguous terms: "Blackwell sales are off the charts, and cloud GPUs are sold out" [SRC-3], adding that NVIDIA had "entered the virtuous cycle of AI" with "more new foundation model makers, more AI startups, across more industries" [SRC-3]. On the Q4 FY26 print (February 25, 2026), management guided Q1 FY27 revenue to approximately \$78B [SRC-6], representing roughly 15% sequential growth and implying continued ramp through the first half of fiscal 2027.

GUIDANCE CHANGES: The Q1 FY27 \$78B guide [SRC-6] is the first material guide of the new fiscal year and exceeded the \$66.2B Q4 print [SRC-7]. Management has not provided full-year fiscal 2027 guidance.

RECENT NEWS FLOW (last 90 days): NVDA shares rose approximately 20% in April 2026 alone and were up 92% year over year as of April 29, 2026 [SRC-9]. The next earnings release is scheduled for May 20, 2026 [SRC-9]. The Q4 print also disclosed gains on NVIDIA's strategic equity stake in Intel, which contributed to the GAAP-vs-non-GAAP net income gap [SRC-6]; this is a one-time line item and should not be modeled into forward earnings.

5. INVESTMENT THESIS AND OUTLOOK

THESIS: NVIDIA is the only at-scale provider of the full AI compute stack - silicon, networking, system software, and developer ecosystem - at a moment when the buyers of that stack are spending at unprecedented and

still-accelerating rates. Q4 FY26 revenue of \$68.1B [SRC-1], full-year revenue of \$215.9B (up 65% year over year) [SRC-1], and a Q1 FY27 guide of approximately \$78B [SRC-6] do not look like the late innings of a cycle; gross-margin expansion to 75.0% [SRC-1] argues that pricing power is intact. The bear case is straightforward and not unreasonable: the 5.09T market cap [SRC-8] prices in continued execution, and any deceleration in hyperscaler capex - whether from model-efficiency gains, custom-silicon adoption, or financing constraints - would compress both numerator and denominator.

VALUATION CONTEXT: The stock trades at 42.7x trailing earnings [SRC-8], roughly in line with its TTM average of 44.5x but well below the 5-year average of ~64x [SRC-8]. The forward P/E of 25.8x [SRC-8] is a 5-year low and discounts substantial revenue growth into FY27 estimates. The 1-year total return of 92% [SRC-8] [SRC-9] reflects strong realized performance, while the price near \$209.57 [SRC-8] sits within 4% of the 52-week high of \$216.83 [SRC-8]. Beta of 2.34 [SRC-8] argues for sizing discipline given the stock's elevated correlation to broader risk-on / risk-off rotations.

WHAT WOULD CHANGE OUR VIEW: - A meaningful Q1 FY27 revenue miss versus the \$78B guide [SRC-6], or qualitative commentary on softening hyperscaler demand on the May 20 [SRC-9] call. - A second China-related export-control charge of similar magnitude to the Q1 FY26 event [SRC-5]. - Concrete evidence of share loss to a custom hyperscaler accelerator program in a published infrastructure benchmark or capex disclosure.

RECOMMENDATION FRAMING: POSITIVE. The combination of accelerating revenue at scale, expanding gross margin, a forward multiple at a 5-year low, and a near-term catalyst (May 20 earnings) is rare. We frame this as POSITIVE for inclusion on a focus list, with the caveat that position sizing should respect a 2.3 beta and the concentration of revenue in a small number of hyperscaler customers. This is research support; the human portfolio manager owns the final allocation decision and any risk-adjusted entry timing.

APPENDIX A: SOURCE INVENTORY

Every [SRC-X] citation in this report maps to one of the documents below. URLs link to the original public source.

ID	Type	Title	Date	Source URL
SRC-1	8-K	NVIDIA Q4 FY26 Earnings Press Release	2026-02-25	https://www.sec.gov/Archives/edgar/data/0001045810/000104...
SRC-2	8-K	NVIDIA Q4 FY26 CFO Commentary	2026-02-25	https://www.sec.gov/Archives/edgar/data/0001045810/000104...
SRC-3	8-K	NVIDIA Q3 FY26 Earnings Press Release	2025-11-19	https://nvidianews.nvidia.com/news/nvidia-announces-finan...
SRC-4	8-K	NVIDIA Q2 FY26 Earnings Press Release	2025-08-27	https://www.sec.gov/Archives/edgar/data/0001045810/000104...
SRC-5	8-K	NVIDIA Q1 FY26 Earnings Press Release	2025-05-28	https://www.sec.gov/Archives/edgar/data/0001045810/000104...
SRC-6	news	Fortune - NVIDIA Q4 FY26 results covered	2026-02-25	https://fortune.com/2026/02/25/nvidia-nvda-earnings-q4-re...
SRC-7	news	CNBC - NVIDIA Q4 FY26 earnings analysis	2026-02-25	https://www.cnbc.com/2026/02/25/nvidia-nvda-earnings-repo...
SRC-8	market_data	NVDA market data snapshot (Yahoo Finance)	2026-04-29	https://finance.yahoo.com/quote/NVDA/
SRC-9	news	Yahoo Finance - NVDA April 2026 price	2026-04-29	https://finance.yahoo.com/quote/NVDA/

APPENDIX B: QUALITY CONTROL SUMMARY

This page documents automated checks applied to the draft. It does not replace human review.

Overall severity: LOW

Citation coverage: 98.5%

Ready for human review: True

Quantitative claims flagged for missing citations (1 found):

- ...rst nine months of FY26 NVIDIA returned \$37.0B via buybacks and dividends, with \$62.2B...

Human reviewer sign-off line: _____ Date: _____

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